Boss Energy ASX:BOE

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by sck4000

			2026	2027
Price:	1.28	EPS	0	0
Shares Out. (in M):	416	P/E	0	0
Market Cap (in $M):	371	P/FCF	0	0
Net Debt (in $M):	-41	EBIT	0	0
TEV (in $M):	328	TEV/EBIT	0	0

Description

The global uranium market is in a severe structural deficit where surging and price-inelastic demand from reactors and data centers meets a supply side that cannot respond due to 10years+ of under-/ no investment. But you are a VICer and probably already know that.

What you maybe don't know is that Australian listed Boss Energy (BOE) not only has the property that all its assets are in Western jurisdictions – a rarity among uranium producers. It also offers a timely, event driven angle for an investment.

BOE's share price has been more than halved over the last few months due to a perfect storm of strategic and operational missteps at both sites which created enormous uncertainty and a major revolt among shareholders. I believe that the combination of the accelerated publication of their new production strategy end of August together with a new board setup and newly aligned incentives will remove this "uncertainty overhang" and distrust, and see the possibility of a FCF yield to mcap of 30%+ under even only mildly optimistic conditions by the end of 2027, implying a return of 3x or more.

The Market

While BOE has not been written up before, there are several writeups on VIC that do a great job on explaining the current market setup for uranium, most recently by mezzybear, and I refer you to those for more background on the market.

In summary, uranium has a decade+ behind it as a "forgotten commodity", trapped between post-Fukushima sentiment and enough secondary supply that kept prices low. That secondary supply is running lower and lower and so utilities are estimated to have a demand of 180m lb+ vs mine supply of 130m+. And that is only if you're not picky and are ok if a lot of that supply comes from sources outside Western jurisdictions - which many Western utilities aren't due to an increasingly strict legislative mandate that bans non-Western sources. Also – this does not include the demand from AI/Data Centers. AI agents can be described as many things – (one of my) favorite definitions though is, they are something that turns electricity into tokens. And therefore, the already high demand from utilities alone becomes even higher driven by the AI boom. I'm not going to list all the recent nuclear energy deals agreed by hyperscalers because the structural deficit is independent from Data Center demand – that demand just makes it worse, and so the thesis works independent of whether we might or might not be in an AI bubble, and Data Center demand will or will not be as high as anticipated. It is "heads (demand from classical utilities only) – I win, tails (=even more demand due to AI): I win even bigger."

Sales-strategy-wise there is two ways how you sell uranium as a producer: Either you enter long-term contracts with utilities, or you sell into the much thinner and more volatile spot market. Which one you choose will depend on your size, strength of balance sheet and what tolerance you have for volatility.

The Company

BOE is a uranium producer listed on the ASX. They have A$62m of cash vs. A$54m in total liabilities plus 1.53m lb of inventory valued showing at book value of A$113m (purchase at ~$30/lb in 2021) vs its actual value (if priced at current spot of $85/lb) of A$181, i.e. big unrealized value just form the way the inventory is valued or rather mis-valued. I view this as both a "cushion"/downside protection should spot prices not move as I expect, and as something that also can expose BOE to rising spot prices.

They have two major assets: The Honeymoon mine (100% owned) in South Australia, and a 30% interest in the Alta Mesa JV (located in Soth Texas) in partnership with encore Energy which they can market and sell the way they want (i.e. into spot market, rather than contracts which encore mostly does). Both these assets are in production and are currently ramping up. There's also some satellite deposits in exploration stage which I will not cover in this writeup. BOE maintains a "strategically under-contracted" sales strategy, meaning: with the exception of a legacy contract requiring them to deliver 125k lb/quarter at 65-70% spot they can take advantage of high spot prices/temporary spikes, or simply refuse to sell anything if they don't like the price**.**

The challenges – when it rains, it pours

After spending the years since 2015 as a developer, 2025 should have been *the* year for BOE where it formally transitions from developer to producer. But then everything that can go wrong, did: When it rains, it pours as they say – and challenges surfaced at *both* the strategic and operational level and at *both* sites – Honeymoon and Alta Mesa – at the same time.

- **Strategic challenges at Honeymoon and need for the "New Feasibility Study" (NFS):** BOE in 2021 had published a Feasibility study for Honeymoon which outlined the operational details (nameplate capacity, infra and well setup, cash costs and AISC). Then in mid-2025, an internal review identified a "material and significant deviation" from this study regarding the geological conditions of the mine (mineralisation was not as continuous as previously assumed and the planned well setup would not be able economical), higher variability of the rate at which uranium could be leached and a nameplate capacity that due to these circumstances would very likely not be achievable. Long story short: They needed to pull their original target for nameplate 2.45m lb/y with AISC of $26/lb, and perform a new, independently verified Feasibility study for Honeymoon originally targeted for September 26. The failed study (published/acknowledged in pieces over several months, starting in June/July 25) was the most serious one, the stock cratered from above A$4.5 to below A$2, and became one of the most shorted stocks on the ASX (short interest peaked above 25% in December, still at around 11%).
- **Operational challenges at Honeymoon:** ...but when it rains, it pours – in this case literally: On top of the strategic challenges, South Australia experienced unexpectedly strong rainfall in Q3 26. This restricted access to the sites and hence restricted the delivery of the chemicals needed to mine uranium, causing production to fall over 55% for that quarter. With that, fixed costs got spread out over less volume and so AISC also rose

significantly from $33/lb to $64/lb. For FY26, they revised production target down to 1.40M – 1.45M lbs. On the positive side, they managed to also lower cost targets which they could achieve based on a combination of process- and infra optimization and some one-off savings.
- **Meanwhile in Texas - operational challenges at Alta Mesa:** Encore faced bottlenecks in obtaining regulatory permits needed to commission new production modules because of the natural phasing and depletion of wellfields. This of course which restricted production, led to an overall decline in from 200klb in q1 26 to 97klb in q3 26.

Fast forward to now: Despite these challenges, BOE already came out beginning of July (roughly one month before end of the fiscal year) and confirmed that they will meet both production targets and cost guidelines. Also, meanwhile encore has brought in a new CEO Richard Little who has 30 years+ experience in o&g. During the investors call, it was announced that his top three priorities will be investor communication, cost reduction - and permitting acceleration.

In that July announcement, BOE also announced they would accelerate the publication of the NFS as the "quality and maturity" of the technical work allowed the company to move straight to the final NFS earlier than originally planned. **Further developments at BOE are also very encouraging and IMO point to a fast and positive resolution of both the “uncertainty overhang” caused by the old feasibility study, and to better leadership that should help to restore confidence in the company.**

The Board

There have been meaningful changes to the board, and the (partly) new insiders are heavily aligned towards making the NFS and subsequent operations work; every signal on the outcome of the NFS are very encouraging:

- **Alignment of new CEO via his LTI:** In September, Duncan Craib stepped down as CEO and handed the reins to former COO Matthew Dusci which was widely interpreted as the transition from an explorer to an active producer (and hence the reins should be in the hands of an ops guy). Besides the fixed annual salary, Dusci receives short term incentives (STI) and long term incentives (LTI). Particularly the LTI in my eyes is heavily structured such that they need to make the NFS work: 30% is tied to absolute total shareholder return. To obtain 100% from this part of the LTI, the total shareholder return must grow for 20% or more every year for next three years – and I don’t see how his growth can be achieved w.o. a convincing NFS in place. 20% are tied to overcoming "strategic hurdles” as measured in how many of the key parts of the new operational strategy were achieved. For obtaining 100% of that part of the LTI he must have delivered five or more of the "key programs" or workstreams of the NFS which comprise the validation of the new well-field design to support the new setup, and an updated mineral resource modelling. To be honest, there also are some workstreams in there that I perceive as more fluffy (like the "3D reactive transport simulations of wellfield performance" are done - field-scale modelling and simulation are a must, and not smth fancy that you can or cannot do!). But I am ok with that, because imagine they come out with some sort of fluffy pseudo NFS: I think that would keep the stock down for an extended period of time such that the 30% of the LTI would be lost.
  What’s more, the afore mentioned components amount to 50% of the LTI - the other 50% are subject to the stock outperforming *relative to a set of peers*. So if they were unsuccessful with the NFS, a simple stock re-rating due to heightened commodity prices would not help, and the CEO would lose most of the LTI. Additionally, Dusci is subject to a minimum shareholding policy requiring him to hold 300% of his fixed renumeration in BOE shares within five years of his appointment.
- **Newly appointed chair is legendary Peter Botten + they can't afford the "Second Strike":** At the last AGM held in November 2025, Boss' institutional shareholders staged a major revolt, handing the company a formal "First Strike" by casting >40% of votes against the adoption of the 2025 Remuneration Report. This strong resistance far exceeded the 25% threshold required under Australian corporate law and forced immediate accountability from the board, with the Chair publicly pledging to restructure future executive compensation guidelines. Ultimately, this investor backlash served as the direct catalyst for a major ongoing board refresh, triggering the retirement of the HR Committee Chair in July and forcing a transition to incoming Independent Chair Peter Botten to restore trust (effective 30 September 2026). Botten has a 45+ year track record in the resource industry, ranging from everything from project development, operations, stakeholder engagement, government relations, capital allocation, corporate governance and to M&A. In particular, he is famous for his 20+ year run at the company "Oil Search" which he took from a small producer to a multi-billion A$ company listed in the ASX. I don't think it's a coincidence that he walks in precisely around the time when the feasibility study will come out, and interpret that as "an adult will be in the room" when the company enters its decisive months of "show me". **In addition, if for the next AGM in autumn BOE again gets a strike, by Australian Law there is a very real chance that the entire board of directors gets fired** (I'm making a slightly longer story intentionally short, and leave out the procedural details; but this is what it boils down to).
- **Early signal on the outcome of the NFS are very encouraging:** Now, incentives are incentives (and as laid out, I think they have every self-serving interest in the book to make the NFS and operations work in the next 12 months) - but the geology is the geology is the geology. And if the geology doesn't yield itself to a wide-spaced well design and a good. economically viable and sustainable setup, than all incentives in the world won't help you. Nevertheless, I think every signal we got so far there points to a fantastic outcome of the NFS: The board **accelerated the publication of the NFS from originally planned September to August**, where I think if the results so far showed bad results they would try to play it slow somehow in order to survive the next AGM. Plus: **Botten was announced in as new chair only recently (in July)** - and if you were him, and had a 45+ year track record to defend - would you step into a situation like this without having enough data to build a high conviction that this will work? I think that makes no sense.

Valuation

I’ll keep it simple and only show a base scenario and a mildly optimistic one. The only difference between the two is in what I assume for spot prices and production. For all other key parameters on cost, discount to spot I take the more conservative limit, i.e. any improvement there leads to more upside. I’ll approximate FCF as Revenue – All-In Sustaining Cost (“AISC”) – Growth CAPEX – G&A.

Parameters used for both:

- AISC at $45/lb – Boss has already pulled its FY26 AISC guidance down into the US$40–42/lb range despite the challenges so this is a conservative upper floor; also use this as a conservative cost proxy for AM (enCore estimates pre-income tax cost (including royalties, taxes, and capital) for its South Texas operations at around $43/lb
- Corporate G&A around $9m /y – vs~ $1.9m/quarter
- Growth CAPEX $10m/y – drop from prev. ~$20m/y (guidance FY26) based on management statements that "approximately half" of this spend was dedicated to the completion of NIMCIX columns 4, 5, and 6 which is finalized
- Price for legacy contract: floating 65% of spot at time of delivery (lower end of 65%-70% from the past)

Base scenario:

- Spot prices stay the same (at $85/lb) and don’t even close the gap to the current term pricing ($95/lb), production from Honeymoon stays at 1.5m

lb/year (of which 0.5m lb in CY27 go to the legacy contract priced at a floating 65% of spot). Production from Alta Mesa stays at yearly 400k lb/no improvement (i.e. 100k lb/quarter – the worst quarter production AM had since production started in mid-2025; BOE takes 30% of this production).
- Revenue is ~$123m, and **FCF $31m or ~8.4% of current mcap.**

Mildly optimistic:

- Spot goes to $100/lb (vs. some analysts expecting spot prices in the range $120+/lb), AM ramps up to 1m lb (vs. enCore's plan to ramp up to 1.5m lb), Honeymoon ramps up to 2m lb.
- Revenue is ~$213m, and **FCF $113m or ~30% of current mcap, implying a 3x+ return if you assume a healthy FCF yield of 8.8%+.** (… and I only note that 1) with these production numbers a spot at $120/lb gets you to a FCF yield of ~44%+, and that 2) right now BOE is trading at around book value, and slightly under book if you value inventory at spot. Higher spot prices would lead to a valuation even below book which makes no sense).

Risks

- I completely misread and misunderstood the situation, and the NFS will be a disaster and Botten also misread the whole thing
- Black swan: there's another Fukushima in the next ~12-18 months
- Surprising oversupply coming out of Kazakhstan as Kazatomprom (the world's largest producer) overdelivers after several quarters of overpromise/underdeliver because they abruptly have found a way to fix all their supply chain and operational issues

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Catalyst

- Q4 report results on Jul 30 to show guidance has been met
- NFS in August to prove economic viability of Honeymoon & subsequent roadshows in September (already announced)
- Declining short interest
- AGM in autumn and having to avoid the "Second Stríke" through continued positive results
- FCF generation as such and with that proving you made the transition from explorer to producer
- On the macro level supply shortages in uranium combined with price inelasticity

Messages

No messages